



"Inflation has been primarily due to domestic factors but now external factors are beginning to play a part."

C. RANGARAJAN, CHAIRMAN, PM'S ECONOMIC ADVISORY COUNCIL

plagued by the rising costs of raw materials and oil products. Interest rates as high as 7.75 per cent have also added to the costs of manufacturers. As Amit Mitra, secretary general of FICCI, puts it, "Remedies like a credit squeeze and interest rate hike are just not working out. On the contrary, they are adding to the cost of production of the industry and putting a brake on industrial growth." Growth in industrial production in April stood at 7 per cent, significantly down from 11.3 per cent during the corresponding month last year as per the latest data on industrial production.

The current demand in the economy is more monetary than real, fuelled essentially by an increase in cheap bank credit and general money supply, points out ASSOCHAM Secretary-General D.S. Rawat, adding that the food shortfalls and high prices are also due to the poor food management and poor procurement policies of the Government.

With the entry of private players, the procurement scenario has changed over the last five years. Government, however, has been sticking to its traditional pattern of procurement at minimum support price (MSP). Unfortunately for the Government, market prices move above MSP due to high demand, and therefore, the produce goes to the buyer who pays a higher price. As a result, actual procurement falls short of the stipulated target and results in a fall in the buffer

of vigorous activity over the last three years is also keeping inflation high. Rapid production increases and rock-bottom interest rates have in the past made cars and cell phones easy buys for the common man. The boom has, however, exposed capacity constraints in the industry leading to huge supply shortages and rise in input costs.

Companies across sectors are said to be

KAMLESH KUMAR SINGH AREA SALES MANAGER WITH ESCORTS ASSET MANAGEMENT LIMITED AT PATNA

FAMILY INCOME: Rs 4 lakh per annum

TRAVEL: The Kumar family hasn't been able to go out on a holiday for a long time

LIFESTYLE: Weekly dinners have become a monthly affair. Has shelved plans of purchasing a flat because of the rising interest rates. Thirty per cent of his income goes into daily-use items.

FUEL: About eight to 10 per cent of his income goes into expenditure on petrol.

INVESTMENT: Despite being well informed about the stock market, Kamlesh is left with hardly any money to make such investments

"Our family income has gone up by 20 per cent during the last three years but this is just not enough to cope with inflation."

by Amitabh Srivastava

KRISHNA MURARI, KISHAN

